

April 30, 2026 11:42 PM GMT

MediaTek | Asia Pacific

"Target Price Up" again on TPU upside; OW and Top Pick

WHAT'S CHANGED

MediaTek (2454.TW)	From	To
Price Target	NT\$2,588.00	NT\$2,988.00

Reaction to earnings

Strengthens our thesis Impact to our thesis	In-line Financial results versus consensus	Meaningful revision higher Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

The share price should react positively to management's new AI ASIC (Google TPU) forecast today.

2026 and 2027 ASIC revenue guidance should surprise investors positively: Over the past three months, we [have indicated](#) that MediaTek could deliver its 3nm TPU on time and generate US\$1.6bn (based on 400k unit shipments), above the company's original US\$1bn guidance. Yesterday at its 1Q26 results, management raised this target to US\$2bn, suggesting 3nm TPU demand and timing are better than our bullish assumptions and much better than Street consensus. For 2027 ASIC revenue, management implied TAM of US\$7-12bn (TAM of US\$70-80bn with 10-15% share). The midpoint of US\$9.5bn aligns with our original US\$10bn forecast, and again is at the high end of the Street's US\$5-10bn.

More details about 2nm TPU: The company for the first time indicated 2nm ASIC should enter mass production by 2027, ahead of our original 1H28 assumption. This shows very strong customer demand and highlights MediaTek execution in chip design services. The company confirmed it would adopt both TSMC's CoWoS and Intel's EMIB (see our [Foundry Floorplan: CoWoS vs. EMIB](#)), and indicated EMIB execution is improving. We therefore raise our 2027 and 2028 revenue assumptions for TPU to US\$12bn and US\$21bn, respectively, on higher 2nm TPU shipments.

How about the margin trend and "full rack" system support? When answering our question about providing full rack support (see news of [Broadcom and Google's collaboration](#)), MediaTek management indicated they are under discussions with the customer. If MediaTek provides any full rack system design support, it would be after 2027, according to management. On margin trend, management indicated that it will continue to add value to the customer in question for both silicon and packaging design, and hence ASIC will continue to be accretive to operating margin.

Raise PT to NT\$2,988: The company guided the smartphone market decline to 15% Y/Y in 2026, and 2Q26 revenue to down 3% Q/Q, in line with our [preview](#). We expect Street to raise forecasts to converge with our bullish view, and the stock to react positively. The stock is still attractive at 19x our 2027 new EPS.

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MediaTek (2454.TW, 2454 TT)

Top Pick

Greater China Technology Semiconductors | Taiwan

Stock Rating	Overweight
Industry View	Attractive
Price target	NT\$2,988.00
Up/downside to price target (%)	14
Shr price, close (Apr 30, 2026)	NT\$2,610.00
52-Week Range	NT\$2,685.00-1,130.00
Sh out, dil, curr (mn)	1,565
Mkt cap, curr (mn)	NT\$4,085,132
EV, curr (mn)	NT\$3,869,603
Avg daily trading value (mn)	NT\$12,640

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	62.79	70.23	130.26	200.57
Prior EPS (NT\$)**	-	68.81	129.50	172.53
EPS (NT\$)\$	66.05	62.52	102.67	153.67
Revenue, net (NT\$ bn)	596.0	655.9	1,007.6	1,403.4
ModelWare net inc (NT\$ bn)	99.9	111.8	207.4	319.3
ROE (%)	24.7	27.3	48.2	55.8
Div yld (%)	11.2	0.0	0.0	0.0

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Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

AI ASIC becoming MediaTek's major value driver

1Q26 results and 2Q26 guidance were largely in line

MediaTek's 1Q26 margin was in-line with our preview at around 46% given the share gain in modems with higher margins than in the smartphone business, which continues to see headwinds this year. During the earnings call, the company also guided global smartphone shipments to be down 15% Y/Y in 2026, similar to our forecast. Looking to 2Q, the company guided revenue to drops 3% Q/Q at the mid-point, is also similar to our 5% decline forecast.

Exhibit 1: 1Q26 earnings review

(NT\$ mn)	1Q26				
	Actual	Q/Q	Y/Y	MS Est.	Consensus
Financials					
Revenue	149,151	-0.7%	8.0%	149,151	146,641
Opex	(46,164)	-2.7%	1.3%	(42,625)	(45,050)
Basic EPS (NT\$)	15.17	12.4%	1.4%	15.99	14.54
Ratios					
GM (%)	46.3%	17bps	-224bps	46.0%	45.9%
Opex (%)	31.0%	-63bps	-207bps	28.6%	30.7%
OPM (%)	15.3%	80bps	-16bps	17.4%	15.2%

Source: Company Data, Visible Alpha, Morgan Stanley Research estimates

Exhibit 2: 2Q26 outlook review

(NT\$ mn)	2Q26				
	Guidance	MS Est.	Q/Q	Y/Y	Consensus
Financials					
Revenue	NT\$140.2n to NT\$149.2bn (flat to down 6% Q/Q)	140,701	-5.7%	-6.4%	142,218
Opex		(42,540)	-7.9%	-4.4%	(43,945)
Basic EPS (NT\$)		13.70	-9.7%	-21.7%	13.78
Ratios					
GM (%)	44.5% to 47.5%	45.9%	-39bps	-322bps	46.0%
Opex (%)	29% to 33%	30.2%	-72bps	64bps	30.9%
OPM (%)		15.7%	33bps	-386bps	15.1%

Source: Company Data, Visible Alpha, Morgan Stanley Research estimates

Google's TPU the major growth driver for MediaTek in 2026 and beyond

On April 22, Google, at Google Cloud Next, introduced TPU v8 with two purpose-built architectures for training and inference: TPU 8t and TPU 8i. Our recent supply chain checks of multiple companies on reticle size confirmed that MediaTek's 3nm TPU 8 should be TPU 8t. This echoes our view that MediaTek's TPU performance should be good enough for AI training.

According to Google's announcement, "both chips will be generally available later this year, and can be used as part of Google's AI Hypercompute," in line with MediaTek's guidance that AI ASIC will contribute revenue of US\$2bn in 2026 (we now assume 500k units at US\$4,000 ASP).

In addition, our recent checks suggest that ASP for the next-generation 2nm Humufish TPU, supported by MediaTek, could be higher than we initially expected given double the number of main dies. For Humufish, our checks at multiple sources suggest that there could be two computing dies and two I/O dies within the chip, both double the number from Zebrafish. Combined with the Serdes upgrade and larger packaging size, we believe

the ASP could be US\$12-15K, higher than our previous expectation of US\$8-10k.

At the gross margin level, the company indicated margins differ from project to project, which we believe may also imply consideration of full rack system support. We expect model 2nm TPU gross margin to decline to 30-35% (vs. 3nm TPU at c.35-40%) given larger revenue scale, but we still expect operating margin to be c.20-25%, higher than the smartphone BU's 15-20%.

Exhibit 3: MediaTek TPU could be used for training purposes (v8t) given smaller chip size compared to Broadcom's TPU



Source: Google

Exhibit 4: Our Asia Google TPU volume forecasts from CoWoS and Morgan Stanley Asia estimates (supply chain-based)

k Units	2023	2024	2025e	2026e	2027e	2028e
v5	500	2,400	250			
v6 (Trillium)			1,000			
v7 (Ironwood, by Broadcom)			500	2,300	500	
v8i (Sunfish; 3nm, by Broadcom)				900	3,000	2,500
v8t (Zebrafish; 3nm, by MediaTek)				500	2,500	2,000
v9 (Pumafish; 2nm, by Broadcom)					150	1,000
v10 (Humufish; 2nm, by MediaTek)					150	1,000
Total	500	2,400	1,750	3,700	6,300	6,500

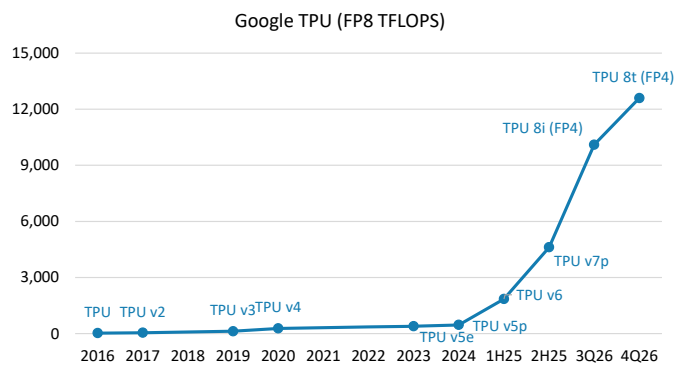
Source: Morgan Stanley Research (e) estimates

Exhibit 5: TPU 8t and TPU 8i at a glance

Feature	TPU 8t	TPU 8i
Primary Workload	Large-scale pre-training	Sampling, serving, and reasoning
Network Topology	3D torus	Boardfly
Specialized Chip Features	SparseCore (Embeddings) & LLM Decoder Engine	CAE (Collectives Acceleration Engine)
HBM Capacity	216 GB	288 GB
On-Chip SRAM (Vmem)	128 MB	384 MB
Peak FP4 PFLOPs	12.6	10.1
HBM Bandwidth	6,528 GB/s	8,601 GB/s (~1.3x of TPU 8t)
CPU Header	Arm Axion	Arm Axion

Source: Google

Exhibit 6: Performance of Google TPU by generation



Source: Google, Morgan Stanley Research; Note: TPU prior than TPU v7, performance is based on FP8

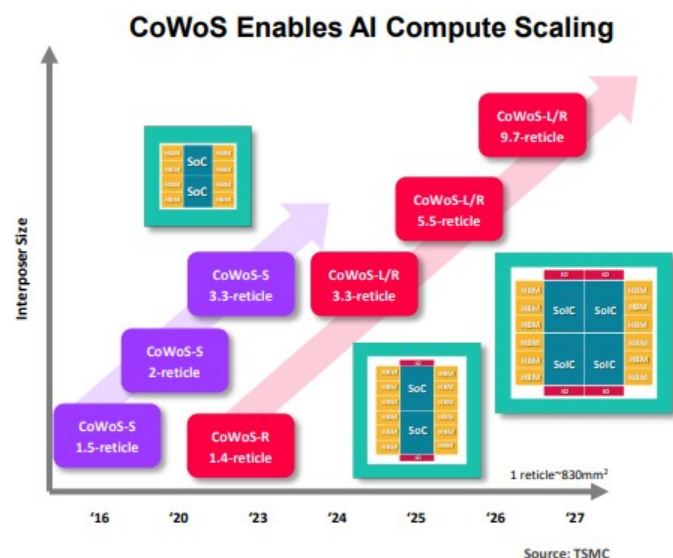
The 2nm TPU to use dual sources – both TSMC CoWoS-L and Intel EMIB

TSMC's CoWoS (Chip-on-Wafer-on-Substrate) is the industry's leading 2.5D packaging solution, especially for AI and HPC applications. Its biggest advantage is the use of a high-density interposer or RDL layer that enables extremely wide, low-latency connections between logic dies and HBM stacks. This makes it ideal for bandwidth-intensive workloads, such as GPUs and AI accelerators.

However, these benefits come at a cost: CoWoS – particularly the silicon interposer/bridge – is expensive, capacity-constrained, and subject to yield challenges, with a potential warpage issue when it comes to larger chip sizes. Cost and manufacturing complexity remain key trade-offs. As a result, we now see TSMC's CoWoS roadmap supporting only up to 9.7x reticle size, which does not appear to be enough for future AI or HPC chip designs.

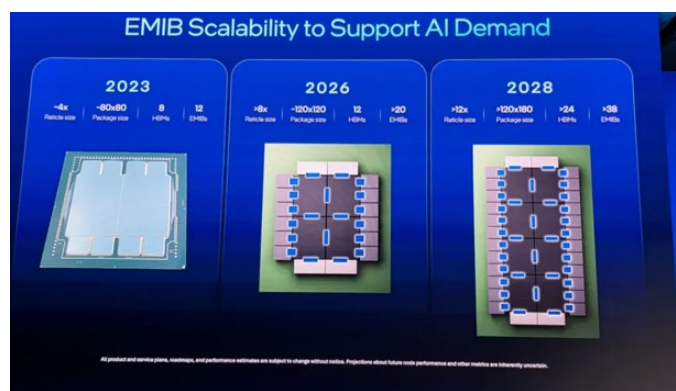
We expect MediaTek to secure a certain amount of CoWoS capacity for 2nm TPU to ensure minimum volume production, but we think it could use Intel's (covered by Joseph Moore) EMIB-T to save costs and boost volume in 2028 or 2029 if executed well.

Exhibit 7: TSMC's roadmap for interposer size



Source: Winway, TSMC

Exhibit 8: Intel's EMIB can easily support larger chips with more reticles (>12) if its supply chain can execute well



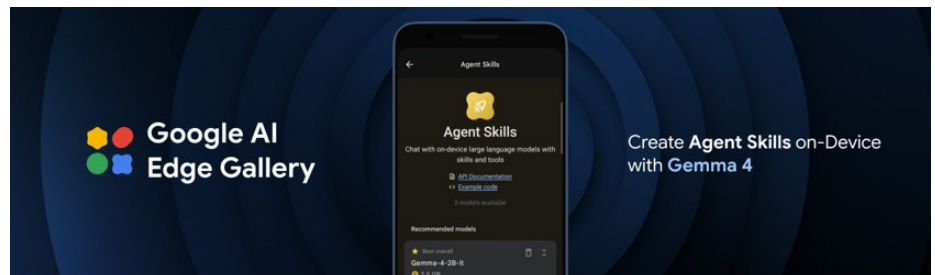
Source: Intel

Smartphones: Near-term weakness well-known; Android AI agent phones could be an interesting trend

A bleaker Android outlook: In [Erik Woodring's recent AlphaWise Smartphone Survey report](#), our global team lowered its CY26 global smartphone shipment forecast to 1.1bn units, representing a 13% drop YoY, with Android shipments down 15% YoY. In our view, this points to weaker demand in China's smartphone market, driven by higher memory costs (as discussed in our [Omnivision downgrade, Smartphone CIS De-spec and Pricing Pressure Given Memory Cost Hike](#)) and the lack of a compelling new product cycle, as neither Edge AI nor AI smartphones appear to be gaining meaningful traction. We are also seeing similar order cuts at MediaTek's key chip testing vendors, including KYEC.

Android AI agent phones could be an interesting trend to watch: Google is actively rolling out AI agents on Android phones (starting with Galaxy S26/Pixel 10 in early 2026) that can perform multi-step tasks across apps, such as ordering food, organizing notes, or creating calendar events by interacting directly with the app UI. In the coming Google IO event on 5/19, there could be a wider adoption for the Android ecosystem. Token consumption and cost is currently a key issue for agentic AI; we expect on-device computing provided on edge devices, such as smartphones, will help to alleviate some cost burden for AI agent users.

Exhibit 9: With Gemma 4, build agents and autonomous AI use cases running directly on-device are developed



Source: Google, Morgan Stanley Research

Earnings estimate revisions and quarterly financials

We raise our earnings estimates 2% for 2026, 1% for 2027, and 16% for 2028: Our increased estimates mostly reflect better-than-expected TPU demand/forecast, offset by higher opex from our previous estimates.

Exhibit 10: MediaTek: Earnings estimate revisions

(NT\$ mn)	Current New 2026e	Previous Old 2026e	Diff. %	Current New 2027e	Previous Old 2027e	Diff. %	Current New 2028e	Previous Old 2028e	Diff. %
Net sales	655,906	635,883	3%	1,007,633	971,588	4%	1,403,360	1,239,484	13%
Gross profit	296,244	287,597	3%	427,692	413,362	3%	583,753	520,829	12%
Operating profit	114,475	114,289	0%	230,401	228,973	1%	362,869	310,042	17%
Pretax income	130,754	129,289	1%	245,401	243,973	1%	377,869	325,042	16%
Reported net income	111,810	109,547	2%	207,364	206,157	1%	319,299	274,660	16%
Reported basic EPS	70.23	68.81	2%	130.26	129.50	1%	200.57	172.53	16%
Reported diluted EPS	70.12	68.71	2%	130.05	129.30	1%	200.26	172.26	16%

Margins

Gross margin	45.2%	45.2%		42.4%	42.5%		41.6%	42.0%	
Operating margin	17.5%	18.0%		22.9%	23.6%		25.9%	25.0%	
Pretax margin	19.9%	20.3%		24.4%	25.1%		26.9%	26.2%	
Net margin	17.0%	17.2%		20.6%	21.2%		22.8%	22.2%	

Source: Morgan Stanley Research (e) estimates

Exhibit 11: MediaTek: Quarterly financials

(NT\$ mn)	1Q26e	2Q26e	3Q26e	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	2024	2025	2026e	2027e	2028e
Total revenues	149,151	142,588	148,427	215,741	211,228	227,348	272,582	296,475	530,586	595,966	655,906	1,007,633	1,403,360
Q/Q Change	-0.7%	-4.4%	4.1%	45.4%	-2.1%	7.6%	19.9%	8.8%					
Y/Y Change	-2.7%	-5.2%	4.5%	43.6%	41.6%	59.4%	83.6%	37.4%	22.4%	12.3%	10.1%	53.6%	39.3%
Cost of Sales	80,096	77,309	81,242	121,016	120,564	130,356	157,794	171,226	267,200	312,886	359,662	579,941	819,607
Percent of Revenues	53.7%	54.2%	54.7%	56.1%	57.1%	57.3%	57.9%	57.8%	50.4%	52.5%	54.8%	57.6%	58.4%
Gross Profit	69,055	65,279	67,185	94,724	90,664	96,992	114,788	125,249	263,386	283,080	296,244	427,692	583,753
Gross Margin	46.3%	45.8%	45.3%	43.9%	42.9%	42.7%	42.1%	42.2%	49.6%	47.5%	45.2%	42.4%	41.6%
Incremental Margin	NM	NM	33%	41%	NM	39%	39%	44%	58%	30%	22%	37%	39%
Total Opex	46,165	44,410	44,656	46,539	47,731	48,434	50,065	51,062	160,974	179,610	181,769	197,291	220,884
Percent of Revenues	31.0%	31.1%	30.1%	21.6%	22.6%	21.3%	18.4%	17.2%	30.3%	30.1%	27.7%	19.6%	15.7%
R&D	38,345	38,195	38,245	38,345	39,550	39,750	39,950	40,150	131,993	148,306	153,130	159,400	171,900
Percent of Revenues	25.7%	26.8%	25.8%	17.8%	18.7%	17.5%	14.7%	13.5%	24.9%	24.9%	23.3%	15.8%	12.2%
General & Adm Exp.	2,800	2,650	2,700	2,800	2,900	3,000	3,300	3,500	11,891	10,856	10,950	12,700	13,900
Percent of Revenues	1.9%	1.9%	1.8%	1.3%	1.4%	1.3%	1.2%	1.2%	2.2%	1.8%	1.7%	1.3%	1.0%
Selling Expenses	5,020	3,565	3,711	5,394	5,281	5,684	6,815	7,412	17,090	20,448	17,689	25,191	35,084
Percent of Revenues	3.4%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%	3.2%	3.4%	2.7%	2.5%	2.5%
Operating Income	22,890	20,870	22,529	48,186	42,933	48,558	64,723	74,187	102,412	103,470	114,475	230,401	362,869
Operating Margin	15.3%	14.6%	15.2%	22.3%	20.3%	21.4%	23.7%	25.0%	19.3%	17.4%	17.5%	22.9%	25.9%
Total Non-operating Income (loss)	4,129	4,050	4,050	4,050	3,750	3,750	3,750	3,750	17,107	16,047	16,279	15,000	15,000
Profit Before Taxes	27,019	24,920	26,579	52,236	46,683	52,308	68,473	77,937	119,519	119,517	130,754	245,401	377,869
Percent of Revenues	18.1%	17.5%	17.9%	24.2%	22.1%	23.0%	25.1%	26.3%	22.5%	20.1%	19.9%	24.4%	26.9%
Change vs Year Ago	-22%	-25%	2%	103%	73%	110%	158%	49%	37.7%	0.0%	9.4%	87.7%	54.0%
Taxes	2,643	3,863	4,120	8,097	7,236	8,108	10,613	12,080	12,378	18,770	18,722	38,037	58,570
Tax Rate	9.8%	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%	10.4%	15.7%	14.3%	15.5%	15.5%
Minor interest	222	0	0	0	0	0	0	0	754	798	222	0	0
Total Net Income to Parent	24,154	21,057	22,460	44,139	39,447	44,200	57,860	65,857	106,387	99,948	111,810	207,364	319,299
Percent of Revenues	16.2%	14.8%	15.1%	20.5%	18.7%	19.4%	21.2%	22.2%	20.1%	16.8%	17.0%	20.6%	22.8%
Change vs Year Ago	-17.6%	-24.4%	5.5%	105.5%	63.3%	109.9%	157.6%	49.2%	38.2%	-6.1%	11.9%	85.5%	54.0%
Reported Basic EPS (NT\$, TW GAAP)	15.17	13.23	14.11	27.73	24.78	27.76	36.35	41.37	66.93	62.79	70.23	130.26	200.57
Reported Diluted EPS (NT\$, TW GAAP)	15.15	13.21	14.09	27.68	24.74	27.72	36.29	41.30	66.81	62.70	70.12	130.05	200.26

Source: Company data, Morgan Stanley Research (e) estimates

Raising price target from NT\$2,588 to NT\$2,988

We continue to derive our price target (our base case scenario value) from a residual income model. The price target change reflects our EPS estimate revisions, which are higher in the outer years. All of our key valuation assumptions remain the same: cost of equity of 9.2% (beta of 1.2, risk-free rate of 2%, and risk premium of 6%), intermediate growth rate of 9%, and terminal growth rate of 3.0%.

Our bull and bear case scenario values also rise from NT\$3,550 and NT\$1,320 to NT\$4,100 and NT\$1,520, respectively.

Exhibit 12: MediaTek: Residual income model

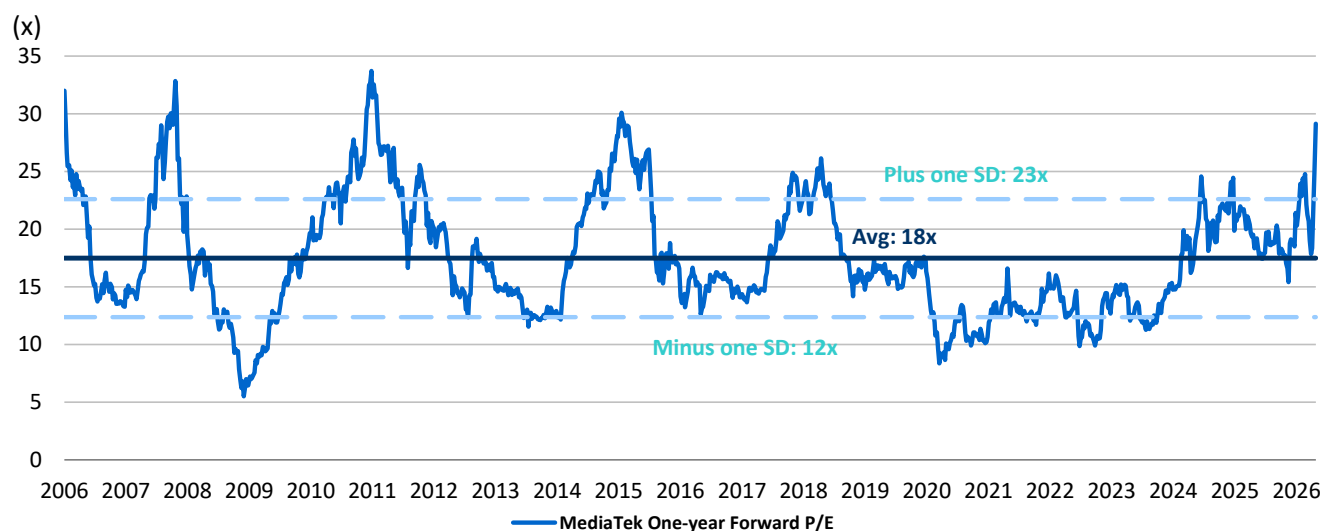
(NT\$ mn)	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e	2035e	2036e	2037e
Total Equity	428,208	577,344	751,908	915,701	1,094,236	1,288,839	1,500,956	1,732,164	1,984,181	2,258,879	2,558,299	2,884,668
Net Profit	110,146	212,611	319,178	347,905	379,216	413,345	450,546	491,096	535,294	583,471	635,983	693,222
ROAE	26.3%	42.3%	48.0%	41.7%	37.7%	34.7%	32.3%	30.4%	28.8%	27.5%	26.4%	25.5%
Residual Income	69,999	141,683	224,147	244,558	261,287	278,922	297,717	317,888	339,635	363,152	388,635	416,291
Spread	17.1%	33.1%	38.8%	32.5%	28.5%	25.5%	23.1%	21.2%	19.6%	18.3%	17.2%	16.3%
Ending Equity Capital	428,208											
PV of Forecast Period	1,709,776											
PV of Continuing Value	2,626,600											
Equity Value	4,764,584											
No. of Shares	1,594											
Projected Price (NT\$)	2,988											

Source: Company data, Morgan Stanley Research (e) estimates

Relative valuation

We view P/E as relatively attractive – it's below the historical average since 2006 – in view of strong AI demand. Although MediaTek will face a smartphone headwind in 2026, we think it's time to look beyond 2026: we believe this margin pressure has been fully priced in, but the TPU upside not. We believe the stock should now trade closer to +1SD from its historical average because of strong TPU demand. Our new price target of US \$2,988 implies 21x 2027e EPS.

Exhibit 13: MediaTek: One-year forward P/E trend



Source: Company data, FactSet, Morgan Stanley Research

Risk Reward – MediaTek (2454.TW) Top Pick

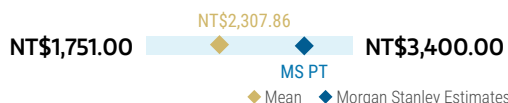
AI ASIC demand likely to offset smartphone headwind; Top Pick

PRICE TARGET NT\$2,988.00

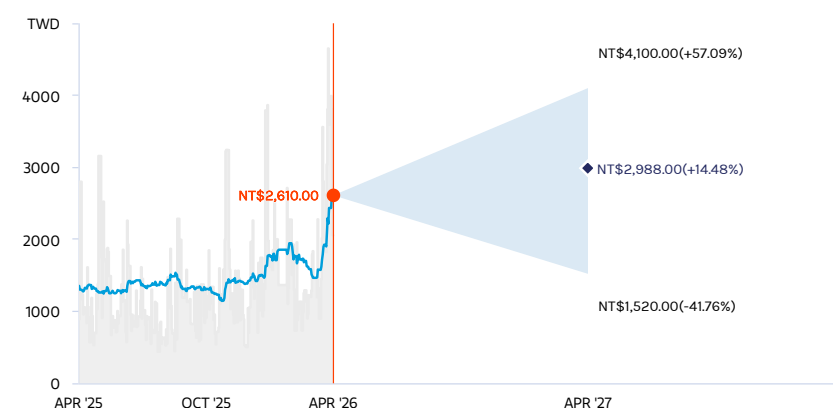
Base case, residual income model. Key assumptions: cost of equity 9.2%, intermediate growth rate 9.0%, terminal growth rate 3.0%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



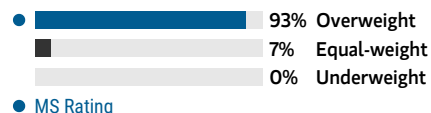
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We think MediaTek's gross margin will decline in both 2026 and 2027 as a result of smartphone headwinds and TPU margin dilution, but the strong demand from TPU should be able to drive earnings growth.
- Overall AI ASIC demand looks very strong, especially from Google's TPU, which should benefit MediaTek in the following years.
- The AI smartphone replacement cycle is the key wild card. AI smartphone replacement could be too mild to pass through additional costs in Chinese smartphones.
- Risk-reward is attractive at the current level given strong TPU demand. We believe the stock deserves to re-rate to >20x 2027e P/E, closer to +1SD from its 18x historical average since 2006.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

NT\$4,100.00

30x 2027e EPS

MediaTek receives US licenses for shipments to all Chinese smartphone brands. Emerging market demand recovers to trend-line growth. MediaTek reaches 90% of an enlarged addressable market for 5G Android smartphones in 2027, including share gains in premium smartphone models. Blended ASP rises in 2027. Better business development in IoT, autos, enterprise networking chips, edge AI projects and AI ASIC business, especially on Google TPU demand.

BASE CASE

NT\$2,988.00

21x 2027e EPS

MediaTek maintains around 35-40% overall share in the Chinese smartphone market, with a share of 30-40% in 5G SoC for 2025 (ex-Apple). Besides smartphones, AI ASIC should be the largest focus for the company now. We expect a 25-30% revenue CAGR during 2025-28. Non-smartphone business development stays on track, including IoT, autos, enterprise networking chips, edge AI projects and AI ASIC business.

BEAR CASE

NT\$1,520.00

11x 2027e EPS

Competitive pressures are worse than expected, with some market share loss, which hurts gross margin. Emerging market smartphone growth stalls. Chinese smartphone chipset vendors show a breakthrough in 5G technologies or foundry supply and start to take more market share in mid-range 5G smartphone SoCs. Slow new business development in ASIC, IoT and automotive, edge AI projects and AI ASIC business.

Risk Reward – MediaTek (2454.TW)

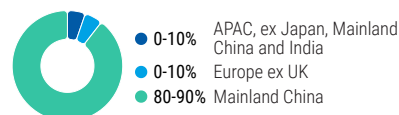
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Revenue from 5G Products (NT\$, mn)	291,637	276,362	301,505	341,338
Revenue from Mid-low-end 4G Products (NT\$, mn)	4,854	1,189	1,137	1,186
Revenue from Growing Products (NT\$, mn)	195,335	300,325	628,845	981,109
Revenue from Mature Products (NT\$, mn)	34,922	32,845	32,857	32,682

INVESTMENT DRIVERS

- Market share in major smartphone brands
- Overall demand from non-smartphone businesses, such as TVs and set-top boxes
- Introduction of new products, such as SoC, smartphones, and tablets

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST 3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Edge AI proliferates smartphone replacement cycle.
- Smartphone demand rises in China and other EMs.
- New products attract high demand, resulting in market share gains.
- Google's TPU spurs demand.

RISKS TO DOWNSIDE

- Smartphone demand deteriorates in China and other EMs.
- Competition heats up, resulting in pricing competition.
- New products attract low demand, causing market share loss.
- Margin dilution is more severe.

OWNERSHIP POSITIONING

Inst. Owners, % Active 72.7%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (NT\$, mn) 584,567 622,313 655,906

EBITDA (NT\$, mn) 103,379 121,383 138,283 140,248

Net income (NT\$, mn) 81,798 99,528 111,810 112,359

EPS (NT\$) 51.39 62.52 70.23 70.48

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

MediaTek: Financial Summary

Income Statement

NT\$m (Years End Dec)	2024	2025	2026e	2027e	2028e
Net sales	530,586	595,966	655,906	1,007,633	1,403,360
COGS	(267,200)	(312,886)	(359,662)	(579,941)	(819,607)
Gross profit	263,386	283,080	296,244	427,692	583,753
Operating expenses	(160,974)	(179,610)	(181,769)	(197,291)	(220,884)
Operating income	102,412	103,470	114,475	230,401	362,869
Non-operating income	17,107	16,047	16,279	15,000	15,000
Pre-tax income	119,519	119,517	130,754	245,401	377,869
Income tax	(12,378)	(18,770)	(18,722)	(38,037)	(58,570)
Net income (excl. emp. bonus)	133,925	125,933	140,040	259,205	399,124
Employee Bonus Expense	26,785	25,187	28,008	51,841	79,825
Net income (incl. emp. bonus)	106,387	99,948	111,810	207,364	319,299
Adj. wtd. avg. shrs (m)	1,589	1,592	1,592	1,592	1,592
Reported EPS (NT\$)	66.93	62.79	70.23	130.26	200.57
Diluted EPS (NT\$)	66.81	62.70	70.12	130.05	200.26
EPS for Consensus (NT\$)	66.81	62.70	70.12	130.05	200.26

Cash Flow Statement

NT\$m (Years End Dec)	2024	2025	2026e	2027e	2028e
Cash flow from Operations	156,055	162,793	30,847	178,111	290,629
Net profits	106,385	99,948	111,810	207,364	319,299
Depreciation	20,936	22,974	23,808	24,641	25,474
Equity investment losses (income)	(517)	(785)	0	0	0
Other adjustments	29,251	40,655	(104,771)	(53,894)	(54,144)
Cash flow from Investing	(35,928)	(37,754)	(69,831)	(102,501)	(114,698)
Capex	(13,787)	(15,059)	(5,000)	(5,000)	(5,000)
Change of LT Investment	(14,226)	(9,851)	0	0	0
Change of ST Investment	283	(69)	0	0	0
Other adjustments	(8,198)	(12,775)	(64,831)	(97,501)	(109,698)
Cash flow from financing	(90,119)	(87,675)	(114,940)	(89,448)	(165,891)
Increase in L/T debt	0	60	0	0	0
Increase in S/T debt	(1,260)	0	0	0	0
Cash Dividend Paid	(87,551)	(86,070)	(114,940)	(89,448)	(165,891)
Dir& Emp Bonus Paid	0	0	0	0	0
Issuance of stock	0	0	0	0	0
Other adjustments	(1,309)	(1,665)	0	0	0
Exchange rate adjustment	0	0	0	0	0
Net change in cash	30,008	37,364	-153,925	-13,838	10,040

Balance Sheet

NT\$m (Years End Dec)	2024	2025	2026e	2027e	2028e
Cash	203,696	235,290	81,366	67,528	77,568
Mkt Securities	15,928	12,419	12,419	12,419	12,419
AR/NR	44,713	62,121	77,978	119,793	166,839
Inventory	58,414	67,235	91,508	147,553	208,531
Other	28,274	20,392	13,520	20,770	28,927
Current Assets	351,025	397,456	276,790	368,063	494,284
Long-term investments	169,970	168,912	168,912	168,912	168,912
Fixed assets	56,917	60,427	65,427	70,427	75,427
Other assets	119,955	116,990	181,821	279,322	389,020
Total Assets	697,868	743,785	692,950	886,724	1,127,643
S/T borrowings	940	940	940	940	940
AP/NP	40,777	48,710	59,763	96,366	136,190
Other ST liabilities	225,186	253,700	171,135	185,748	207,961
LT debt	2,681	6,795	6,795	6,795	6,795
Other LT liabilities	23,228	24,444	24,444	24,444	24,444
Total Liabilities	292,812	334,590	263,078	314,294	376,331
Common shares	16,017	16,039	16,039	16,039	16,039
Retained earning	331,543	354,139	465,949	673,313	992,612
Other shareholders' equity	57,495	39,017	(52,115)	(116,922)	(257,339)
Total Equity	405,055	409,195	429,873	572,430	751,312
Total Liab. & Shrhldr's Equity	697,868	743,785	692,950	886,724	1,127,643

Financial Ratios

	2024	2025	2026e	2027e	2028e
Growth(%)					
Turnover	22.4	12.3	10.1	53.6	39.3
Operating profits	42.6	1.0	10.6	101.3	57.5
Pretax profits	37.7	0.0	9.4	87.7	54.0
Net profits	38.8	-6.0	11.2	85.1	54.0
EPS	38.1	-6.1	11.8	85.5	54.0
Margins (%)					
Gross Margin	49.6	47.5	45.2	42.4	41.6
Operating Margin	19.3	17.4	17.5	22.9	25.9
Pretax Margin	22.5	20.1	19.9	24.4	26.9
Net Profit	20.1	16.8	17.0	20.6	22.8
Return (%)					
ROAA	16.0	13.9	15.6	26.3	31.7
ROAE	27.3	24.5	26.7	41.4	48.2
Gearing (%)					
Net Debt/Equity	(50.1)	(57.3)	(18.7)	(11.6)	(10.2)
Liabilities/Equity	72.3	81.8	61.2	54.9	50.1
Ratios (X)					
Current ratio	1.3	1.3	1.2	1.3	1.4
Quick ratio	0.9	1.0	0.7	0.7	0.7
Others					
AR/NR Turnover (days)	43	43	43	43	43
Inventory Turnover (days)	92	92	92	92	92
AP Turnover (days)	60	60	60	60	60
Cash Conversion (days)	75	75	75	75	75

e = Morgan Stanley Research Estimates

Source: Morgan Stanley Research, Company Data

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of April 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Stock Price, Price Target and Rating History (See Rating Definitions)

MediaTek (2454.TW) - As of 04/30/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 5/1/21 : O/I; 10/12/21 : O/C; 10/4/22 : O/A; 12/16/22 : E/A; 2/22/23 : E/I; 4/18/23 : U/I; 7/7/23 : U/A; 8/29/23 : E/A; 9/12/23 : O/A; 7/21/24 : O/I; 7/14/25 : O/A; 9/23/25 : E/A; 11/28/25 : O/A

Price Target History: 4/29/21 : 1380; 5/20/21 : 1280; 10/26/21 : 1320; 1/27/22 : 1380; 3/28/22 : 1280; 7/12/22 : 880; 9/23/22 : 800; 12/16/22 : 698; 12/28/22 : 649; 4/6/23 : 645; 4/18/23 : 618; 8/29/23 : 698; 9/12/23 : 880; 10/2/23 : 1000; 11/20/23 : 1118; 1/2/24 : 1288; 5/8/24 : 1388; 5/28/24 : 1588; 12/16/24 : 1688; 3/19/25 : 1888; 9/17/25 : 1800; 9/23/25 : 1588; 9/30/25 : 1388; 10/29/25 : 1288; 11/28/25 : 1588; 1/27/26 : 2088; 4/1/26 : 1988; 4/23/26 : 2588

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (04/30/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$51.69
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb376.30
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$144.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$4,135.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$478.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,699.96
Global Unichip Corp (3443.TW)	O (07/27/2024)	NT\$4,260.00
GlobalWafers Co Ltd (6488.TWO)	O (09/19/2025)	NT\$580.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$537.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$114.10
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$465.80
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$302.50
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb99.62
MediaTek (2454.TW)	O (11/28/2025)	NT\$2,610.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb758.03
Nanya Technology Corp. (2408.TW)	E (03/20/2026)	NT\$215.50
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb536.99
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb98.30
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$1,900.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb91.94
Silergy Corp. (6415.TW)	E (04/21/2026)	NT\$427.00
SMIC (0981.HK)	O (10/21/2025)	HK\$70.90
TSMC (2330.TW)	O (02/07/2022)	NT\$2,135.00
UMC (2303.TW)	E (04/20/2026)	NT\$77.30
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$145.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$536.00

Daisy Dai, CFA

ASMP Ltd (0522.HK)	O (07/24/2025)	HK\$163.10
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb56.65
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$136.50
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb88.82
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb28.90
Innoscence (2577.HK)	E (10/13/2025)	HK\$64.15
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb45.56
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$38.86
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb101.00
StarPower Semiconductor Ltd (603290.SS)	O (03/01/2022)	Rmb103.92
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb77.32
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb37.80
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb75.88

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$840.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,365.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$16,475.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$122.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb172.12
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb312.99
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$154.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$261.80
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb173.30
Novatek (3034.TW)	U (02/04/2026)	NT\$409.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$147.50
Parade Technologies Ltd (4966.TWO)	E (01/30/2026)	NT\$575.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$51.90
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$537.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb64.89
Winbond Electronics Corp (2344.TW)	E (03/20/2026)	NT\$89.80
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$101.00
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$204.00

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb143.77
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb401.12

Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,210.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$769.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$11.75
Hon Precision (7769.TW)	O (04/17/2026)	NT\$4,945.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$4,925.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$218.78
Winway Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$10,385.00

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* Historical prices are not split adjusted.